

we did was to short the warrant and hedge it by buying the stock.

Delta hedging?

We started out with a static hedge and then decided that dynamic delta hedging was better.⁹

Did you and Kassouf manage money together?

No, because we had different ideas of how we believed the strategy should be implemented. Kassouf thought he could tell something about the direction of stock prices and would sometimes take a fundamental view on a stock, whereas I was afraid to do that because I didn't believe I had any forecasting power. I thought we should always hedge to be delta neutral.¹⁰ So we went our separate ways. He and his brothers started a managed money business, while I managed my individual accounts for a while.

When did you develop your own option-pricing model?

In 1967, I took some of the ideas about how to price warrants in the *Random Character of Stock Prices* by Paul Cootner and thought I could derive a formula if I made the simplifying assumption that all investments grew at the risk-free rate. Since the purchase or sale of warrants combined with delta neutral hedging led to a portfolio with very little risk, it seemed very plausible to me that the risk-free assumption would lead to the correct formula. The result was an equation that was equivalent to the future Black-Scholes formula. I started using this formula in 1967.

Did you apply your formula (that is, the future Black-Scholes formula) to identify overpriced warrants and then delta hedge those positions?

I didn't have enough money to have a diversified warrant portfolio and to also place the hedge, since each side of a hedged position required separate margin. I used the formula to identify the most extremely overpriced warrants. I found warrants that were selling at two or three times what my formula said they should be priced at. So I just went naked short warrants.